(8) Income taxes

Income before income taxes and change in fair value of unconsolidated affiliate of $695.1 million, $472.4 million and $718.2 million in 2021, 2020 and 2019, respectively, was domestic.

The total provision for income taxes was as follows for the years ended December 31:

(Amounts in thousands)	2021	2020	2019
Current federal income taxes	$ 147,213	$ 89,940	$ 152,748
Deferred federal income taxes	(1,454)	9,619	(562)
Total federal income taxes	**145,759**	**99,559**	**152,186**
Current state income taxes	2,742	924	294
Deferred state income taxes	30	1,514	3,352
Total state income taxes	**2,772**	**2,438**	**3,646**
Total provision for income taxes	**$ 148,531**	**$ 101,997**	**$ 155,832**

We had current income taxes receivable of $1.1 million and $5.4 million as of December 31, 2021 and 2020.

We paid federal taxes of $143.5 million and state taxes of $2.4 million for the year ended December 31, 2021; federal taxes of $55.4 million and state taxes of $1.6 million for the year ended December 31, 2020; and federal taxes of $166.2 million and state taxes of $0.3 million for the year ended December 31, 2019.

The reconciliation of the federal statutory tax rate to the effective income tax rate was as follows for the years ended December 31:

	2021	2020	2019
Statutory U.S. federal income tax rate	21.0 %	21.0 %	21.0 %
Increase (reduction) in rate resulting from:			
State income tax, net of federal income tax effect	0.3	0.4	0.4
Other, net [(1)]	0.1	0.2	0.3
Effective rate	**21.4 %**	**21.6 %**	**21.7 %**

(1) "Other, net" is comprised primarily nondeductible expenses offset by prior year true-ups and tax exempt income.

The components of the deferred income taxes were as follows as of December 31:

(Amounts in thousands)	2021	2020
Assets:		
Accrued commissions and general expenses	$ 8,670	$ 6,813
Net operating loss carry forwards	—	850
Unearned premium and loss reserves	35,331	36,917
State income taxes	6,961	7,166
Other	3,696	271
Gross deferred income tax assets	54,658	52,017
Valuation allowance	(6,268)	(6,443)
Total deferred income tax assets	**48,390**	**45,574**
Liabilities:		
Deferred acquisition costs	5,697	6,042
Net unrealized gains on investment securities	22,577	56,302
Investments	16,923	17,937
Other	4,779	2,104
Total deferred income tax liabilities	**49,976**	**82,385**
Net deferred income tax asset (liability)	**$ (1,586)**	**$ (36,811)**

The above valuation allowance of $6.3 million and $6.4 million as of December 31, 2021 and 2020, respectively, related to state deferred tax assets. The state deferred tax assets related primarily to the future deductions associated with non-insurance and insurance net operating loss (“NOL”) carryforwards.

As of December 31, 2021, there were no U.S. federal NOL carryforwards.

There was no unrecognized tax benefits as of December 31, 2021 and 2020.

We recognize accrued interest and penalties related to unrecognized tax benefits as components of the provision for income taxes. We have recorded $0 of benefits related to interest and penalties for 2021, 2020 and 2019.

As previously discussed, we have elected to participate in the Genworth consolidated return. All Genworth companies domesticated in the United States are included in the Genworth consolidated return as allowed by the tax law and regulations. We have a tax sharing agreement in place and all intercompany balances related to this agreement are settled at least annually. With possible exceptions, we are no longer subject to U.S. federal tax examinations for years through 2017. Any exposure with respect to these pre-2018 years has been sufficiently recorded in the financial statements. Potential state

and local examinations for those years are generally restricted to results that are based on closed U.S. federal examinations.

We are part of the 2021 Amended and Restated Tax Allocation Agreement “TAA” between Genworth and certain of our subsidiaries. The TAA was approved by state insurance regulators and our Board of Directors. The tax allocation methodology is based on the separate return liabilities with offsets for losses and credits utilized to reduce the current consolidated tax liability as allowed by applicable law and regulation. Our policy is to settle intercompany tax balances quarterly, with a final settlement after filing of Genworth’s federal consolidated U.S. corporate income tax return.

Additionally, Genworth Mortgage Insurance Corporation, Enact Mortgage Reinsurance Corporation, Genworth Mortgage Insurance Corporation of North Carolina and Enact Financial Assurance Corporation (collectively, the “MI Group”), were parties to a supplemental tax sharing agreement that allowed them to accelerate the utilization of benefits as if they filed a stand-alone MI Group federal income tax return, even if those benefits had not been utilized in the consolidated federal return (“deemed used losses”). If any deemed used losses are subsequently actually used in a consolidated return, the members of the MI Group which received the benefit for such deemed used losses would not receive a second benefit for such losses. Also, if any member of the MI Group received benefit for any deemed used losses and leaves the consolidated group before such deemed used losses are actually used in a consolidated return, such member will repay such benefit received. Any benefits generated by the MI Group after January 1, 2021 will follow the TAA mentioned above, which does not allow for an acceleration when utilizing benefits.

The TAA prevents any allocation of tax to a separate company that is greater than the tax incurred on a separate company basis, subject to consolidated loss carry-forward adjustments. The total tax refund allocated to the MI Group, therefore, may exceed the consolidated tax refund received.

Separate Return Method

If during the year ended December 31, 2021, we had computed taxes using the separate return method, the unaudited pro forma provision for income taxes would remain unchanged.